ARAB REPUBLIC OF EGYPT
ANTI-MONEY LAUNDERING AND TERRORIST FINANCING UNIT

Date: Cairo, September 28, 2026
Ref: AML/CFT-CIRC/2026/09

To: The Chairman of the Board of Directors
Institution: Licensed Commercial and Public Sector Operating Banks

OFFICIAL DIRECTIVE: APPROVED REVISIONS TO CUSTOMER DUE DILIGENCE (CDD) PROCEDURES & RELEASE OF E-KYC FRAMEWORK

Dear Sir / Madam,

With reference to the Customer Due Diligence (CDD) procedures concerning Anti-Money Laundering and Countering the Financing of Terrorism (AML/CFT) issued by the Egyptian Anti-Money Laundering and Terrorist Financing Unit to operating banks in February 2020, please be advised that the Unit's Board of Trustees approved in September 2026 a comprehensive overhaul and modernization across four foundational regulatory standards:

1. **Customer Due Diligence Procedures for Bank Customers (Comprehensive Revision).**
2. **Customer Due Diligence Procedures for Customers of Financial Inclusion Products and Services.**
3. **Customer Due Diligence Procedures for Mobile Payment Service Customers.**
4. **Customer Due Diligence Procedures for Prepaid Card Service Customers.**

In addition to the aforementioned revisions, the Board of Trustees has formally approved the **First Edition of the Electronic Customer Identification and Verification Procedures (e-KYC)**, establishing nationwide standards for digital non-face-to-face customer onboarding. Furthermore, dedicated regulatory guidelines have been promulgated for the banking sector concerning the **Classification and Reclassification of Politically Exposed Persons (PEPs)** subsequent to their departure from public office.

These directives reflect the evolving international standards set forth by the Financial Action Task Force (FATF), the digitalization of the domestic banking sector, and the necessity of maintaining robust, risk-proportionate barriers against financial crime without hindering financial inclusion targets.

OFFICIAL ELECTRONIC GAZETTE PUBLICATIONS & SOURCE INSTRUMENTS

- CDD Procedures for Bank Customers – September 2026.pdf
- CDD for Financial Inclusion Products & Services – Sept 2026.pdf
- CDD for Mobile Payment Ecosystems – September 2026.pdf
- Electronic Identification & Verification Procedures (e-KYC) – Sept 2026.pdf
- Guidance on Reclassifying PEPs Following Relinquishment of Office.pdf
- CDD Procedures for Prepaid Cards & Stored Value Instruments.pdf

All financial institutions are instructed to download the official documentation, perform immediate gap analyses, and align internal compliance matrices accordingly as detailed in the attached executive directives.

ANNEX I: SUMMARY OF REVISED CUSTOMER DUE DILIGENCE (CDD) STANDARDS

The September 2026 revisions supersede the prior February 2020 instructions. Banks must recognize that customer onboarding, transaction screening, and periodic review workflows must reflect the calibrated risk thresholds delineated below:

Regulatory Instrument	Key Updates & Mandatory Controls	Operational Scope & Applicable Thresholds
General Bank Customers	Full verification of ultimate beneficial owners (UBOs) down to 10% equity; enhanced ongoing monitoring for cross-border wire activities.	Applies to all corporate, commercial, private banking, and standard retail individual accounts across all currencies.
Financial Inclusion Products	Simplified Due Diligence (SDD) allowances; identification via national ID without mandatory proof of address or income verification.	Applicable exclusively to micro-enterprises, self-employed persons, and lower-income retail accounts capped by CBE transaction limits.
Mobile Payment Services	Automated real-time biometric and two-factor authentication links; strict velocity limits on peer-to-peer and merchant transfers.	Covers all digital wallets, mobile smart accounts, and third-party payment gateways licensed under the CBE Mobile Banking Framework.
Prepaid Card Instruments	Mandatory national ID linkage prior to card issuance; complete prohibition of anonymous cash top-ups; strict cumulative reload caps.	Applies to government disbursement payroll cards, closed/open loop retail prepaid cards, and corporate expense cards.

ANNEX II: SPECIAL REGULATORY FOCUS FRAMEWORKS

1. FIRST EDITION: E-KYC FRAMEWORK

The newly approved e-KYC regulations authorize banks to onboard individual customers remotely via verified digital channels. Institutions must integrate with the governmental National Digital Identification Authority, incorporate active liveness detection, and store cryptographically secured audit trails. Any flagged mismatch requires immediate transfer to face-to-face branches.

2. POLITICALLY EXPOSED PERSONS (PEPS)

Banks must adopt a risk-weighted exit strategy rather than indefinite lifetime PEP classifications. Customers stepping down from prominent public functions must be reassessed across a mandatory 12-month cooling-off period. Reclassification to standard risk is strictly conditional upon verified absence of residual public influence and clean asset profile screening.

Senior management remains accountable for ensuring that artificial intelligence, algorithmic scoring engines, and automated screening vendors utilized in both e-KYC and PEP monitoring conform to established auditability standards without regulatory exemptions.

ANNEX III: COMPLIANCE TIMELINE, GOVERNANCE & REMEDIATION PLAN

The Unit mandates a structured transitional timetable for full technical, procedural, and audit alignment. Every operating bank must formally designate its Chief Compliance Officer (CCO) and Head of Internal Audit as responsible executive liaisons.

Milestone Phase	Action Items & Institutional Deliverables	Mandatory Deadline
Phase 1: Gap Assessment	Submission of an institutional compliance gap assessment report approved by the Board Risk Committee.	November 30, 2026
Phase 2: Policy Updates	Updating internal AML/CFT manuals, e-KYC technical standards, and PEP reclassification governance workflows.	January 15, 2027
Phase 3: Core IT Integration	Integration of core banking platforms with national digital registries, liveness APIs, and revised screening matrices.	March 31, 2027
Phase 4: Full Enforcement	Complete rollout, remediation of legacy non-compliant accounts, and full audit sign-off by external auditors.	June 30, 2027

REGULATORY SANCTIONS & EXECUTIVE ORDER

Failure to implement the revised Customer Due Diligence procedures, willful neglect of e-KYC digital security requirements, or unauthorized downgrading of PEP risk classifications shall expose non-compliant institutions, executive officers, and compliance executives to administrative sanctions, fines, and disciplinary penalties under Law No. 80 of 2002 on Anti-Money Laundering and its executive regulations.

Please take note of the above, ensure comprehensive distribution to all branch management and risk departments, and initiate immediate remediation measures without delay.

Yours faithfully,

Issued under the authority of the Board of Trustees of the Egyptian Anti-Money Laundering and Terrorist Financing Unit.

Tarek El-Kholy
Executive Directorship / Board of Trustees